

25STCV34999 25STCV34999

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Case Number: 25STCV34999 Hearing Date: September 17, 2026 Dept: 516

Judge James I. Montgomery

Department 516

Hearing Date: September 17, 2026

Case Name: Division 9 Interiors, Inc. v.

Steiner Douglas Construction, Inc., et al.

Case

No.: 25STCV34999

Matter: Motion for Summary Judgment

Moving

Party: Defendants Steiner

Douglas Construction, Inc. Endurance Assurance Corporation, Lexon Insurance

Company, BIF Non Oz 10705 Avalon Blvd, LP

Responding Party: Plaintiff Division 9 Interiors, Inc.

Tentative Ruling: Defendants

Steiner Douglas Construction, Inc. Endurance Assurance Corporation,

Lexon Insurance Company, and BIF Non Oz 10705 Avalon Blvd,

LPs motion for summary judgment is granted.

Plaintiff Division

9 Interiors, Inc. ("Plaintiff") filed this action against Defendants Steiner

Douglas Construction, Inc. ("Steiner Inc."), Endurance Assurance Corporation ("Endurance Corp."), Lexon Insurance Company ("Lexon Co."), BIF Non OZ 10705 Avalon Blvd, LP ("BIF Avalon"), BIF Non Oz 7518 S Hoover St, LP ("BIF Hoover"), and Does 1 to 30. The Complaint alleges eight causes of action for: (1) enforcement of mechanics lien bond – Avalon Project; (2) enforcement of stop payment notice release bond- Avalon Project; (3) breach of contract- Avalon Project; (4) quantum meruit- Avalon Project; (5) enforcement of mechanics lien release bond- Hoover Project; (6) enforcement of stop payment notice release bond- Hoover Project; (7) breach of contract-Hoover Project; and (8) quantum meruit-Hoover Project.

On January 23, 2026, Plaintiff dismissed the fifth, sixth, and eighth causes of action against BIF Hoover only. No causes of action remain against BIF Hoover.

Steiner Inc., Endurance Corp., Lexon Co., BIF Avalon (collectively "Defendants") move for summary judgment as to Plaintiff's Complaint. Plaintiff opposes.

Legal Standard

"The party moving for summary judgment bears the burden of persuasion that there is no triable issue of material fact and that he is entitled to judgment as a matter of law." (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 850.) A triable issue of material fact exists if the evidence would allow a reasonable trier of fact to find the underlying fact in favor of the party opposing the motion in accordance with the applicable standard of proof. (Ibid.)

;

"When deciding whether to grant summary judgment, the court must consider all of the evidence set forth in the papers (except evidence to which the court has sustained an objection), as well as all reasonable inferences that may be drawn from that evidence, in the light most favorable to the party opposing summary judgment." (Avivi v. Centro Medico Urgente Medical Center (2008) 159 Cal. App. 4th 463, 467; Code Civ. Proc. § 437c, subd. (c).)

Analysis

Defendants

argue that they are entitled to summary judgment on all of Plaintiff's causes of action because Plaintiff signed an unconditional release that waived its rights to claims related to the two projects.

"In

general, a written release extinguishes any obligation covered by the release's terms, provided it has not been obtained by fraud, deception, misrepresentation, duress, or undue influence." (Skrbina v. Fleming Companies (1996) 45 Cal.App.4th 1353, 1365.) Civil Code section 8138 states that:

If the claimant is

required to execute a waiver and release in exchange for, or in order to induce payment of, a final payment and the claimant asserts in the waiver that the claimant has, in fact, been paid the final payment, the waiver and release shall be null, void, and unenforceable unless it is in substantially the following form, with the text of the "Notice to Claimant" in at least as large a type as the largest type otherwise in the form:

UNCONDITIONAL

WAIVER AND RELEASE ON FINAL PAYMENT

NOTICE TO CLAIMANT:

THIS DOCUMENT WAIVES AND RELEASES LIEN, STOP PAYMENT NOTICE, AND PAYMENT BOND RIGHTS UNCONDITIONALLY AND STATES THAT YOU HAVE BEEN PAID FOR GIVING UP THOSE RIGHTS. THIS DOCUMENT IS ENFORCEABLE AGAINST YOU IF YOU SIGN IT, EVEN IF YOU HAVE NOT BEEN PAID. IF YOU HAVE NOT BEEN PAID, USE A CONDITIONAL WAIVER AND RELEASE FORM.

. .
.

Unconditional

Waiver and Release

This document waives

and releases lien, stop payment notice, and payment bond rights the claimant has for all labor and service provided, and equipment and material delivered,

to the customer on this job. Rights based upon labor or service provided, or equipment or material delivered, pursuant to a written change order that has been fully executed by the parties prior to the date that this document is signed by the claimant, are waived and released by this document, unless listed as an Exception below. The claimant has been paid in full.

(Civ. Code, § 8138.)

Defendants argue

that all of Plaintiff's claims against them are barred by the unconditional waiver and release because Plaintiff executed the document and the release complies with the requirements of Civil Code section 8138. (Mot., 5:2-14.)

The

undisputed material facts are that Steiner Inc. was the general contractor on the two projects: (1) 10705 Avalon Blvd. Apartments, located at 10705 Avalon Boulevard, Los Angeles, CA 90003 ("Avalon Project"); and (2) 7524 Hoover Street Apartments, located at 7518-7526 S. Hoover Steet, Los Angeles, CA 90044 ("Hoover Project"). (Undisputed Material Fact ("UMF") 1, 2) Steiner Inc. subcontracted Plaintiff to perform work at both the Avalon Project and Hoover Project. (UMF 3, 6) On June 2, 2025, Plaintiff recorded a mechanic's lien on the Avalon Project; then, on June 23, 2025, Endurance Corp. executed a mechanic's lien release bond. (UMF, 7-8.) On June 29, 2025, Plaintiff filed a Stop Payment Notice on the Avalon Project. (UMF 9.) Then, on June 17, 2025, Lexon Co. issued a Stop Payment Notice Release Bond on the Avalon Project. (UMF, 10.)

On June 4,

2025, Plaintiff filed a mechanics lien on the Hoover Project, and Endurance issued a mechanics lien release bond on June 17, 2025, in relation to the Hoover Project. (UMF 11-12) On June 9, 2025, Plaintiff submitted a Stop Payment Notice on the Hoover Project, and then on June 17, 2025, Endurance issued a release bond. (UMF 13-14.) Plaintiff filed this action against Defendants on December 2, 2025, seeking damages in relation to the Hoover and Avalon Project. (UMF 19)

On December

5, 2025, Richard Chase ("Chase"), CEO of Division 9 Interiors, Inc, signed an Unconditional Waiver and Release on Final Payment for the Avalon Project and Hoover Project. (UMF 16-18)

Plaintiff's

signed waiver complies with the requirements of Civil Code section 8138 and copies the code section verbatim in the waiver and release for the Avalon Project and Hoover Project. (Steiner Decl., Ex. 7-10.)

Thus, no

triable issue of material fact exists that the unconditional waiver and release was executed in compliance with Civil Code section 8138. The burden shifts to Plaintiff to present evidence establishing a triable issue of material fact regarding enforcement of the unconditional waiver and release.

Plaintiff

does not oppose that it signed the waiver and release but argues that it is unenforceable because Plaintiff was not paid for the labor and materials used in connection with the Avalon and Hoover Projects. (Opp., 2:19-23.) Plaintiff contends that, as of December 5, 2025, Defendants owe approximately \$142,675.06 for the Avalon Project and \$145,994.18 for the Hoover Project. (Chase Decl., ¶ 7.) Plaintiff contends that it has submitted sufficient evidence that the release is unenforceable because Defendants did not pay Plaintiff. However, the Court is not persuaded. Plaintiff relies on *Wm. R. Clarke Corp. v. Safeco Ins. Co.* (1997) 15 Cal.4th 882, to support its argument. In *Clarke Corp.*, the Court addressed whether a pay-if-paid provision in construction contracts is enforceable. (*Wm. R. Clarke Corp. v. Safeco Ins. Co.* (1997) 15 Cal.4th 882, 885.) The Court held that such a provision was contrary to public policy. (*Id.* at p. 381.) Thus, the Court finds that case is inapplicable. Additionally, Plaintiff's only evidence is a self-serving declaration drafted by Chase stating that the amount Defendant allegedly owed was the amounts listed. The Court finds that this evidence is not enough to establish that Defendants owe Plaintiff funds.

However,

even if Defendants did owe Plaintiff, Plaintiff effectively waived such claims by executing the waivers and release. In reply, Defendants contend that Plaintiff signed an unconditional release and that the waivers list no amount owed to Plaintiff for each project. Defendants note that the conditional waiver and releases are pursuant to Civil Code section 8132 and 8136. (Civ. Code, §§ 8132, 8134.) The unconditional waivers are pursuant to Civil Code sections 8134 and 8138. (Civ. Code, §§ 8134, 8138.) Plaintiff's arguments regarding need for payment pursuant to Civil Code section 8132 and 8136 are

inapplicable. Moreover, as addressed in this ruling, the Court finds that the waiver and release contains the mandatory provisions as required per Civil Code section 8138. The waiver and release state that Plaintiff was "paid in full." (Steiner Decl., Ex. 7, 9.)

Plaintiff also

argues that Defendants proffer no authority that the Waiver and Release bars Plaintiff's breach of contract and quantum meruit causes of action. Plaintiff relies on Tesco to contend that the waiver and execution do not waive any causes of action other than those to enforce lien, stop payment notice, and bond rights. (Opp., 7: 9-11; See Tesco Controls, Inc. v. Monterey Mechanical Co. (2004) 124 Cal.App.4th 780, 797 (Tesco).) In Tesco, the subcontractor sought to enforce subsequent amounts owed for non-waived rights. (Tesco, supra, 124 Cal.App.4th at p. 798.) The facts in Tesco are distinguishable from the facts before the Court. As Defendants addressed, Tesco involved a conditional waiver and release of its mechanic's lien. (Tesco, supra, 124 Cal.App.4th at p. 797.) Here, the unconditional waiver and release state:

Unconditional

Waiver and Release

This document waives

and releases lien, stop payment notice, and payment bond rights the claimant has for all labor and service provided, and equipment and material delivered, to the customer on this job. Rights based upon labor or service provided, or equipment or material delivered, pursuant to a written change order that has been fully executed by the parties prior to the date that this document is signed by the claimant, are waived and released by this document, unless listed as an Exception below. The claimant has been paid in full.

(Steiner Decl., Ex. 7, 9.)

All of Plaintiff's causes of action

relate to the same dispute regarding Plaintiff's compensation on the Avalon Project and Hoover Project.

Therefore,

Defendants' motion for summary judgment is granted.

Conclusion

Defendants

Steiner Douglas Construction, Inc., Endurance Assurance Corporation, Lexon Insurance Company, and BIF Non OZ 10705 Avalon Blvd, LPs motion for summary judgment is granted.